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SECTOR AT A GLANCE

Urban Finance

Urban Sector in India

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The '**Sector-at-a-Glance**' provides an easy-to-read overview and basic understanding of a sector, sub-sector, or thematic area. The facts and insights on the sector are supported by relevant data and best practices from credible government and multilateral sources. The document covers the structure, key trends, opportunities and challenges, government initiatives, and the way forward for the sector.

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Introduction

This document serves as a primer for understanding the **urban finance** sector in India and provides basic information on the sector – fundamental concepts, key trends, central government priorities - and an indicative list of potential interventions.

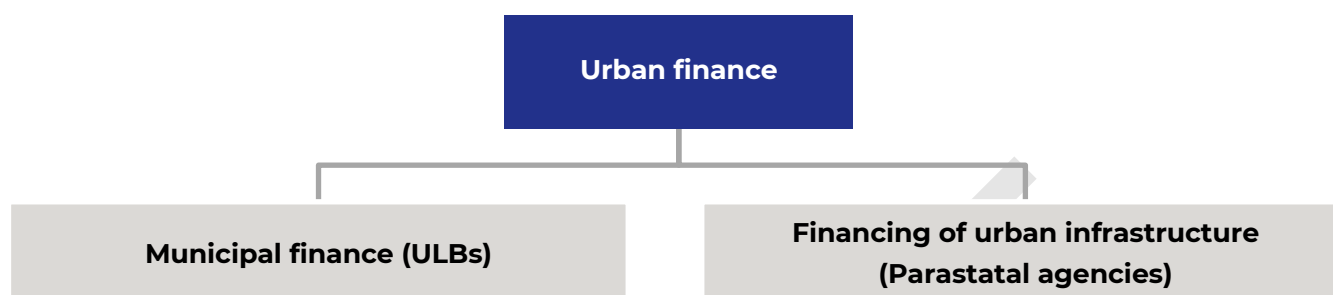
This document attempts to answer the following questions:

1. What is urban finance?
2. What is the status of urban finance?
3. How is urban finance governed?
4. What are the central government priorities?
5. What are potential interventions going forward?

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What is Urban Finance?

Urban finance refers to the financing sources and/ or mechanisms to meet the capital and operating expenditure of urban infrastructure. Local governments and parastatal authorities predominantly manage the provision of urban infrastructure in Indian cities. Municipal finance is related to revenue and expenditure of Urban Local Bodies (ULBs).



A. Sources of urban finance include own revenue sources of ULBs, inter-governmental transfers/devolutions, borrowings

The revenue base of local governments includes own sources of revenues (OSR), grants and inter-governmental fiscal transfers. OSR includes income from taxes and non-tax sources.

- Tax sources:
 - Property tax is a vital source of revenue and accounts for 60% of tax revenue of all ULBs for fiscal 2017-18.¹
 - Some major sources of tax revenue are water tax, sewerage tax, fire tax, street-lighting tax, advertisement tax and conservancy tax.
- Non-tax income refers to user fees or charges for the services consumed by the city residents.
- Local governments also earn revenue from licensing and fines imposed for violations.

Assigned revenue includes tax revenue levied and collected by the state government from each of the municipal jurisdictions, and partial or full transfer of the revenue collected to the respective local government.

Inter-governmental fiscal transfers (IGT) refer to the fiscal transfers by the Central government and the respective state government. Central government fund transfers are made to the consolidated fund of the state governments and later transferred to local governments. These transfers are based on the recommendations of the Central Finance Commission and acceptance of these recommendations by the Central government for a five-year period. Inter-governmental fiscal transfers accounted for 44% of the total municipal revenue for all Urban Local Bodies in fiscal 2017-18.¹

The state governments are also expected to transfer funds based on the recommendations of the respective State Finance Commission and their acceptance for a five-year period.

The funds of Central, state and local governments are managed through financial management systems. An overview of the trends related to implementation of financial management reforms is given in the next section.

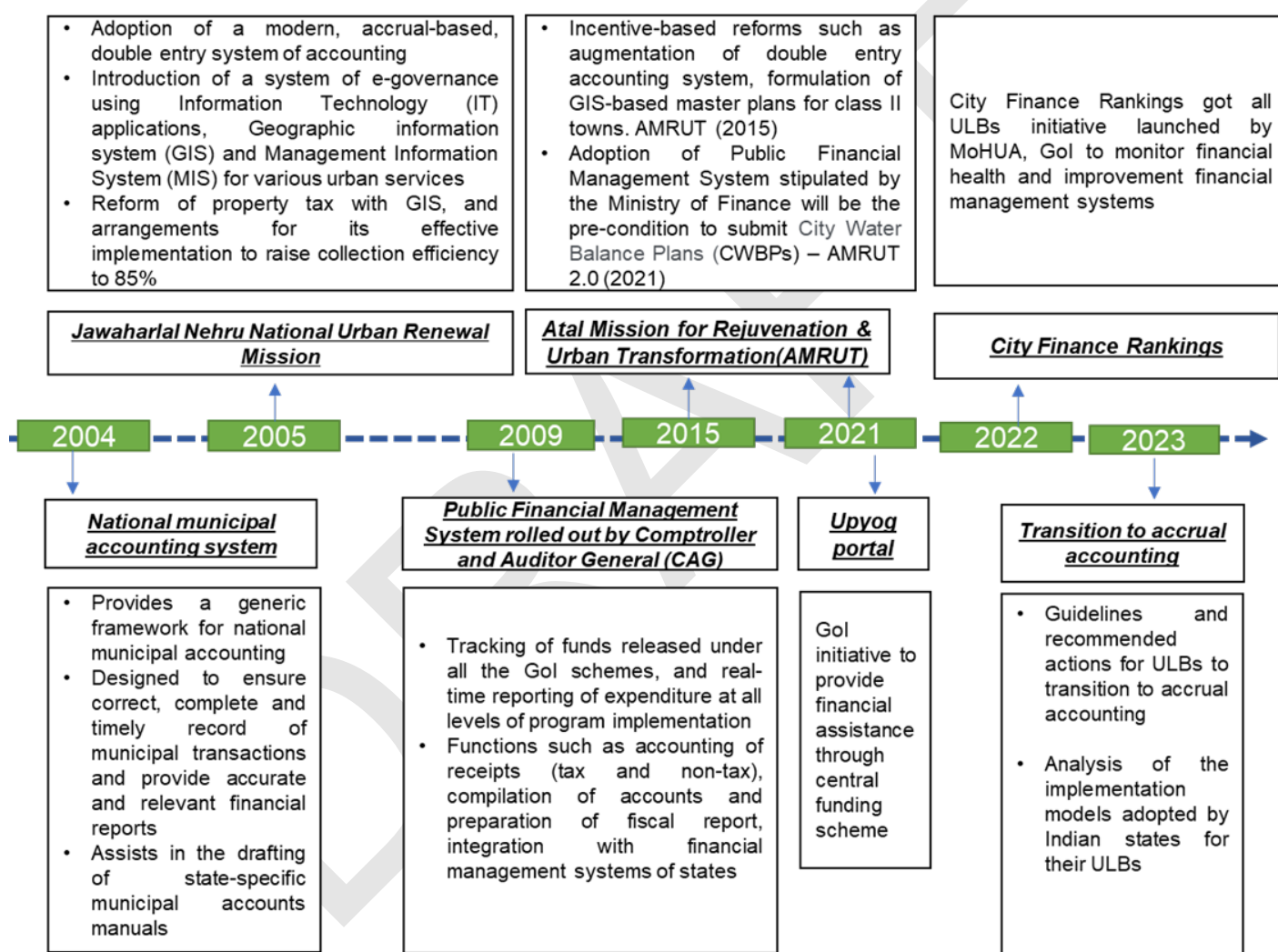
¹ ICRIER. (2019). *State of Municipal Finances in India: A Study Prepared for the Fifteenth Finance Commission*.

B. Financial management systems

Most Indian cities have inadequate financial management systems in place. Many local governments have adopted cash-based accounting systems, which do not provide a complete picture of assets and liabilities at a given point in time.

Over the years, there have been guidelines and actions suggested to improve the local government's fiscal management systems. However, local governments face significant challenges, such as defining and adopting a new system of accounting codes in line with the National Municipal Accounting Training Manual (NMAM), conversion of existing financial data based on single-entry to double-entry due to limited internal technical capacities.

Figure 1: Overview of the trends for implementation of financial management reforms since 2004



Source: CRISIL Research, based on multiple sources

What is the status of urban finance?

Urban infrastructure comprises basic infrastructure such as roads, water, sewerage, solid waste and flood management. Urban Local Bodies (ULBs) and parastatal agencies are responsible for financing urban infrastructure and provision of services. In fiscal 2018, ULBs funded ~47% and parastatal agencies funded ~53% of capital investments in cities.²

A. The Contribution of Municipal Revenue

Over the past decade, the contribution of own source revenues to the total municipal revenue has witnessed a decline, while central and state transfers have increased considerably. This highlights the inability of ULBs to effectively harness OSR sources.

Figure 2: Municipal Own Revenue and Intergovernmental Transfers

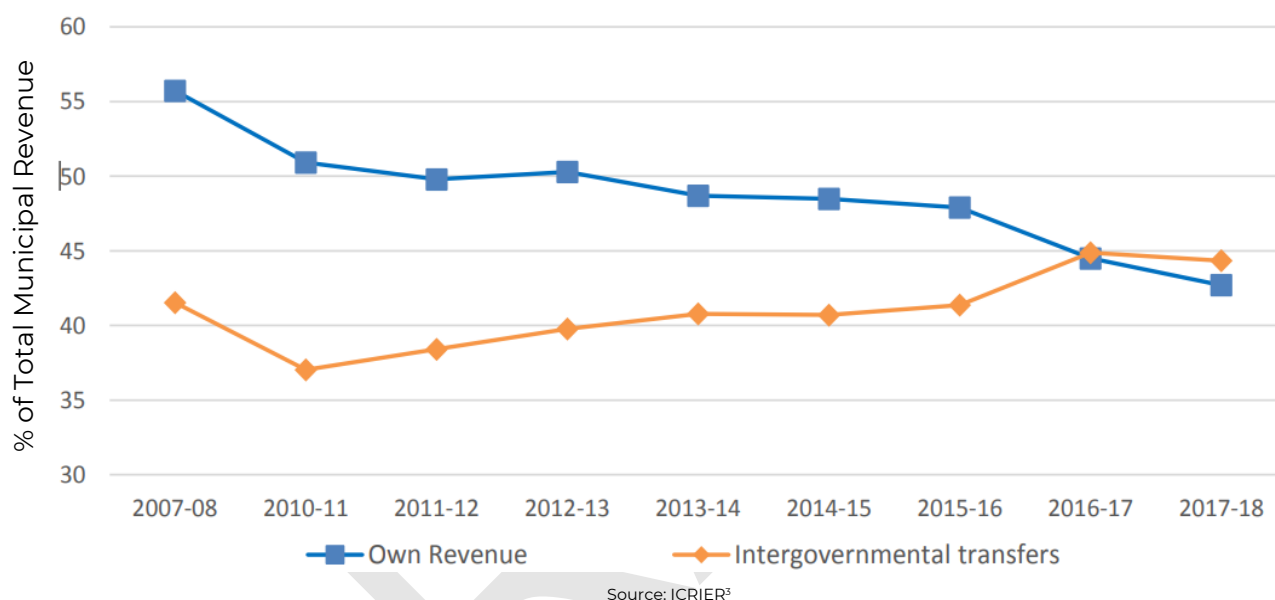
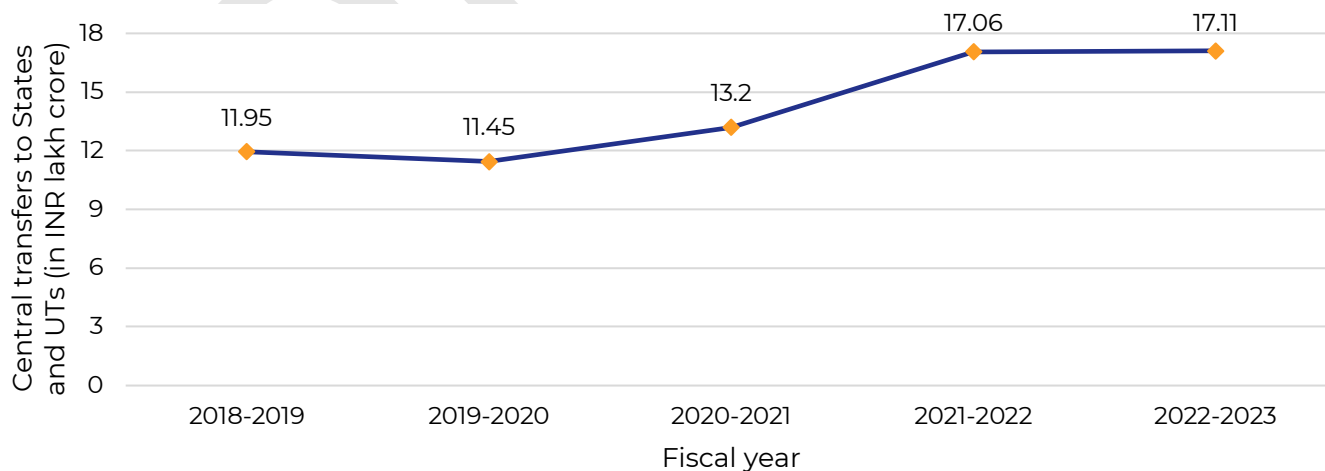


Figure 3: Total transfers from Centre to States and Union Territories (UTs)



Source: Ministry of Finance, India⁴

² Athar, S., White, R., & Goyal, H. (2022). *Financing India's urban infrastructure needs: Constraints to Commercial Financing and Prospects for Policy Action*. Washington, D.C.: World Bank.

³ ICRIER. (2019). *State of Municipal Finances in India: A Study Prepared for the Fifteenth Finance Commission*.

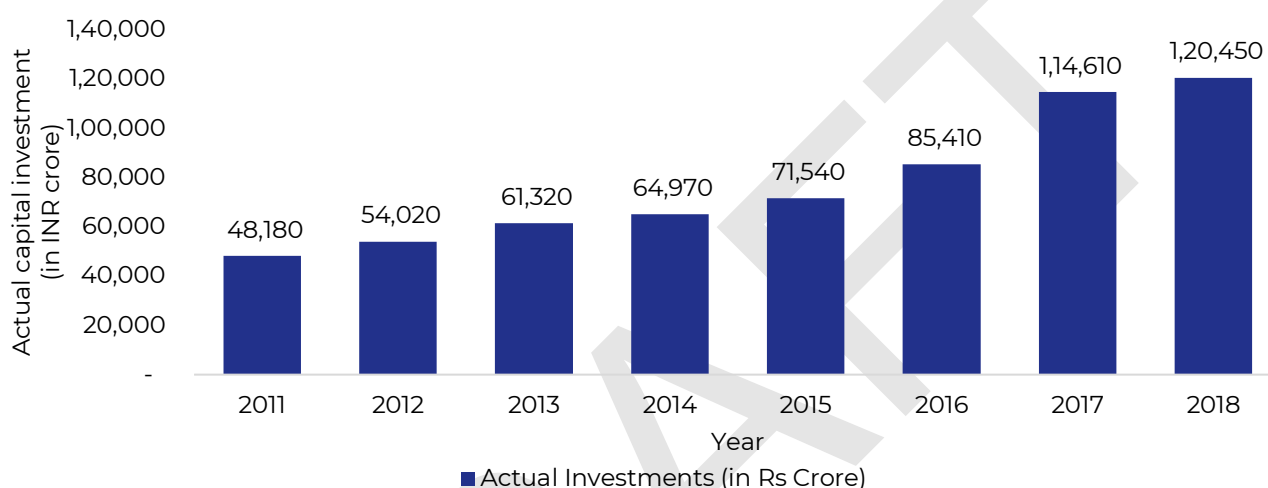
⁴ Ministry of Finance. (2023). *Transfer of Resources to States And Union Territories With Legislature*. India Budget: Budget at a Glance.

B. Capital Investment Requirement

Urban infrastructure and municipal services in Indian cities require an estimated investment of USD 840 billion (in 2020 prices) between 2021 and 2036 (equal to 1.18% of the estimated GDP over 2021-2036), whereas actual capital investments in fiscals 2011-18 averaged only 0.6% of the GDP over the same period.⁵ The estimated average annual capital expenditure (capex) requirement of INR 4,36,800 crore is five times the actual average capex of INR 82,680 crore during fiscal 2011-18.* There is a dire need to increase capital investments in cities.

In fiscal 2021-22, INR 80,894 crore was spent as capital investments by the Indian government under Centrally Sponsored Schemes including the Urban Rejuvenation Missions AMRUT and Smart Cities Mission, Swachh Bharat Mission, National Urban Livelihood Mission and Pradhan Mantri Awas Yojana.

Figure 4: Actual capital investments in urban infrastructure (fiscal 2011 to fiscal 2018)



Source: Athar, White & Goyal⁶

Table 1: Estimates of actual and future annual average capex needs

Particulars	Actual average annual capex FY2011-18 at 2020 prices (INR crore)	Future actual annual average capex needs for FY2021-36 at 2020 prices (INR crore)
Basic services	63,960	2,34,000
Urban transport*	18,720	1,56,000
Others	-	46,800
Total	82,680	4,36,800
Share of GDP	0.63%	1.18%

*Estimates only cover metro and rail⁶

Source: CRISIL research

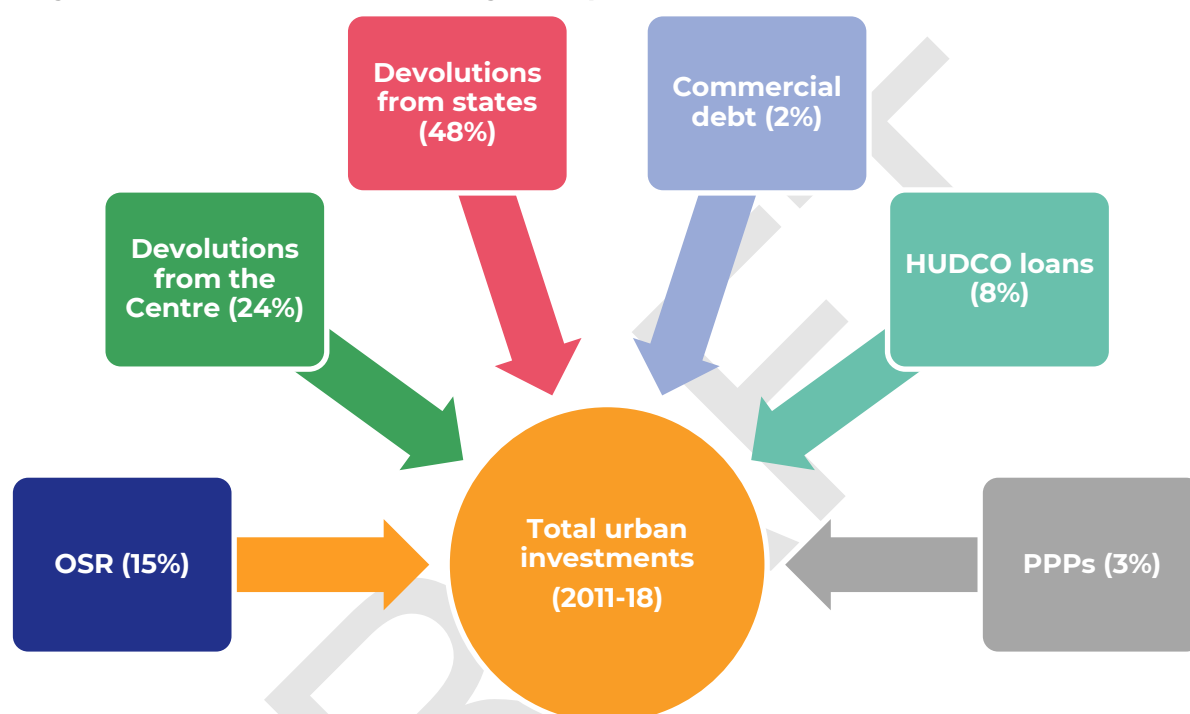
⁵ Estimates based on Financing India's urban infrastructure need constraints to commercial financing and prospects for policy action, World Bank Group, 2022 and CRISIL's analysis

⁶ Athar, S., White, R., & Goyal, H. (2022). *Financing India's urban infrastructure needs constraints to commercial financing and prospects for policy action*. Washington, D.C.: World Bank.

C. Sources of funding for capital investment

Urban infrastructure investments are largely funded by state governments (48%), followed by the Central government (24%). Private commercial financing plays a minor role in financing urban infrastructure in India, as showcased through a limited share of capital investments via commercial debt (2%) and Public-Private Partnerships (PPPs; 3%). Urban Local Bodies (ULBs) face challenges in expanding the capacities of city agencies to deliver infrastructure projects at scale. A review of ten large ULBs* in India revealed that they were able to spend only two-thirds of their cumulative capital budget over the previous three fiscals (2017-18 to 2019-20).⁷

Figure 5: ULBs' sources of funding for capital investments in urban infrastructure



Source: Athar, White & Goyal⁷

D. Own Source Revenue (OSR)

The decreasing share of OSR in the Gross Domestic Product (GDP) during fiscals 2011-18 and the increasing share of central and state (intergovernmental) transfers indicate that ULBs have been unable to optimise own source revenues.

The report of the XVth Finance Commission⁸ notes that OSR has a modest scale in India with a stagnant <1% of GDP on average between 2007-08 and 2017-18, compared with 7.4% in Brazil and 6% in South Africa.[#] Property tax is the largest component of OSR in India, but is miniscule (0.15% of GDP) relative to the property tax in developing and developed countries. On average, property tax collection in developing countries is 0.6% of the GDP, indicating the potential for a four-fold increase in India's property tax income.⁷

* Jaipur, Vadodara, Chennai MC, Hyderabad, Surat, Kochi, Ahmedabad, Coimbatore, Bhopal, Patna

⁷ Athar, S., White, R., & Goyal, H. (2022). *Financing India's urban infrastructure needs constraints to commercial financing and prospects for policy action*. Washington, D.C.: World Bank.

[#] it is important to caveat such comparisons due to the widely varying fiscal and functional mandates of subnational and urban local governments across countries. For example, electricity revenue account for the largest source of OSR for South African local governments, while Indian ULBs do not have this mandate.⁷

⁸ ICRIER. (2019). *State of Municipal Finances in India: A Study Prepared for the Fifteenth Finance Commission*.

Figure 6: Property tax and other own tax revenue as % of GDP (fiscals 2011 to 2017)

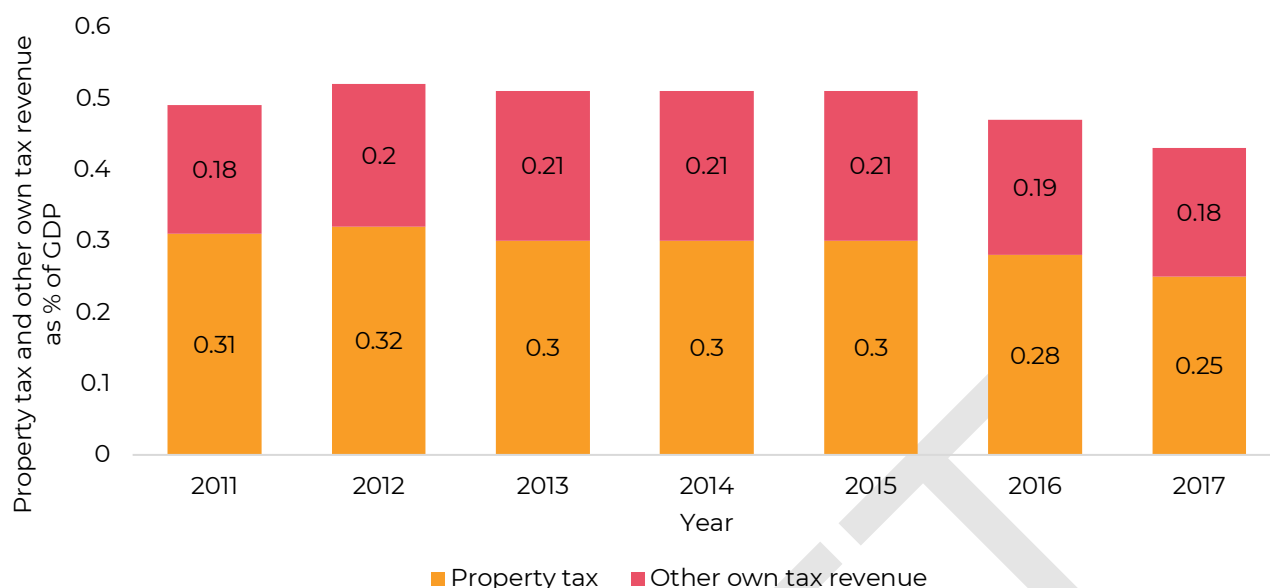
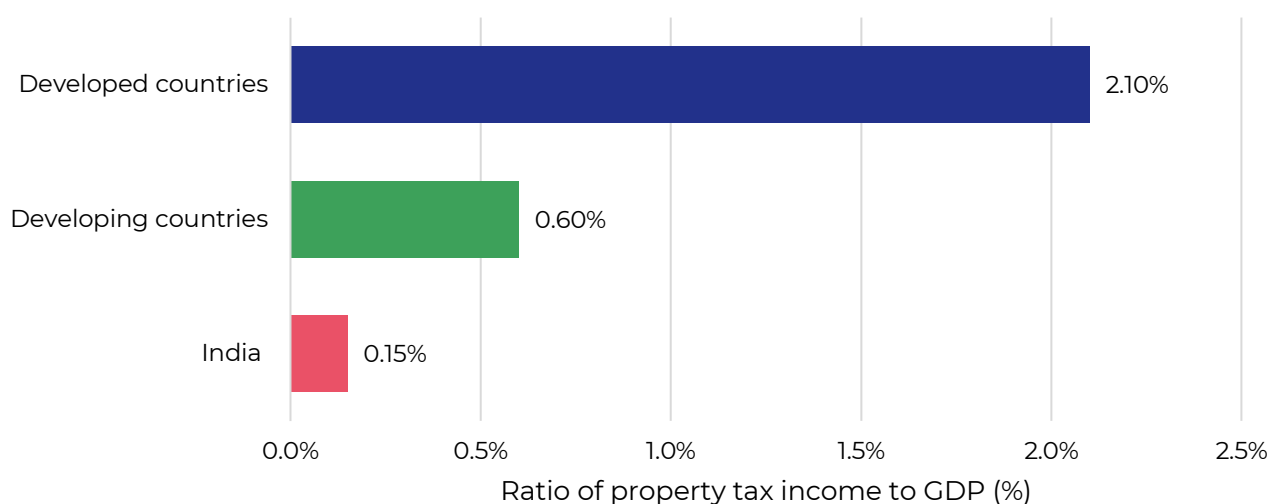


Figure 7: The ratio of property tax income to GDP across the globe



E. Property tax

The share of property tax in the Gross Domestic Product (GDP) decreased from 0.31% in fiscal 2011 to 0.25% in fiscal 2017, indicating a lack of buoyancy due to limited revenue collection and property taxes not being linked to the capital value of properties. The XVth Finance Commission's (FC) study on Municipal Finance Blueprint of India recommends ULBs should optimise OSR by reviewing and reforming all stages of the lifecycle – enumeration, valuation and assessment, and billing and collection. As a measure to incentivise ULBs, the XVth FC's recommendations on the formula for devolution includes a factor of OSR as a percentage of total revenue to enable better-performing ULBs to get a bigger share of devolution.

⁹ ICRIER. (2019). *State of Municipal Finances in India: A Study Prepared for the Fifteenth Finance Commission*.

The XVth FC report recommends an increase in un-tied transfers to ULBs to 0.32% of GDP by fiscal 2025 and total devolution of INR 1,21,055 crore for ULBs over the period from 2021 to 2025.

Table 2: Projected Devolution for ULBs (in INR Crore)

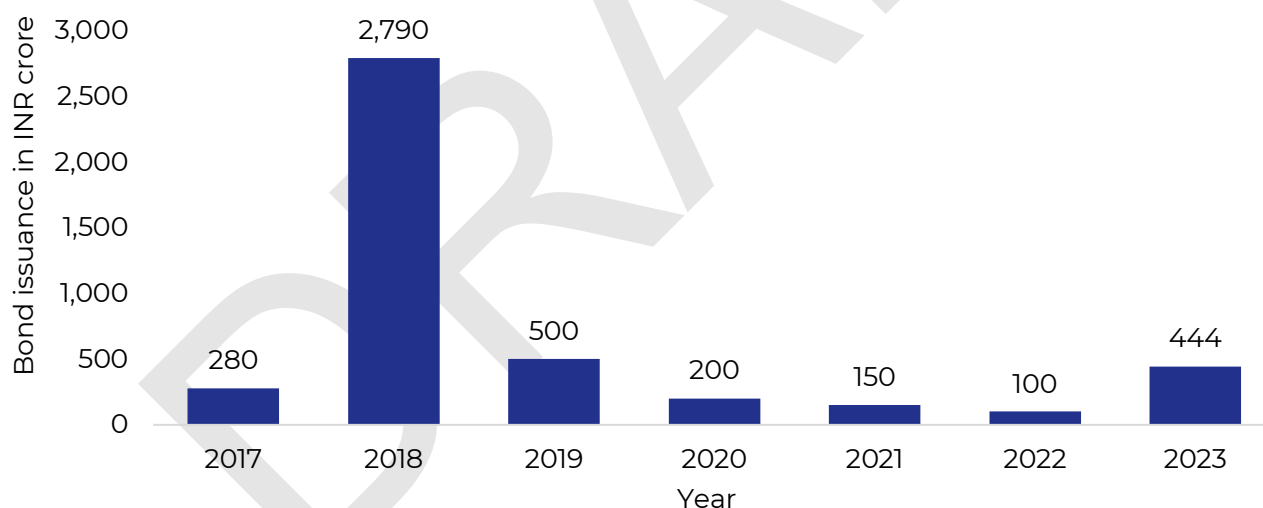
Particulars	2021	2022	2023	2024	2025	Total
Projected devolution for ULBs (INR crore)	22,114	22,908	24,222	25,653	26,158	1,21,055

Source: XVth Finance Commission¹⁰

F. Borrowings

Throughout 2011-18, major sources (over 90%) of commercial debt financing for ULBs were loans from Scheduled Commercial Banks (SCBs) and other Financial Institutions (FIs). Meanwhile, municipal bond¹¹ issuances have also surged over the past few years – with the Government of India (GoI) issuing credit ratings to 500 cities, where 35 cities were rated A- and above. Between 2017 and 2022, INR 3,800+ crore were raised through municipal bonds, and large metropolitan corporations accounted for the bulk of the borrowings.^{12 13}

Figure 8: Year-wise municipal bond issuance (2017 to 2023)



Source: Reserve Bank of India (2022)¹², Securities and Exchange Board of India (2023)¹³

The government has been focusing on various initiatives to boost market-based financing to bridge the current investment gap:

- The Smart Cities Mission (SCM) and Atal Mission for Rejuvenation and Urban Transformation (AMRUT) included structured issuance with credit ratings for various municipal bodies.
- The AMRUT scheme provides municipalities INR 13 crore for every INR 100 crore in bonds sold, up to a maximum bond value of INR 200 crores.

¹⁰ XV Finance Commission. (2020). *Finance Commission in COVID Times: Report for 2021-26, Volume I: Main Report*

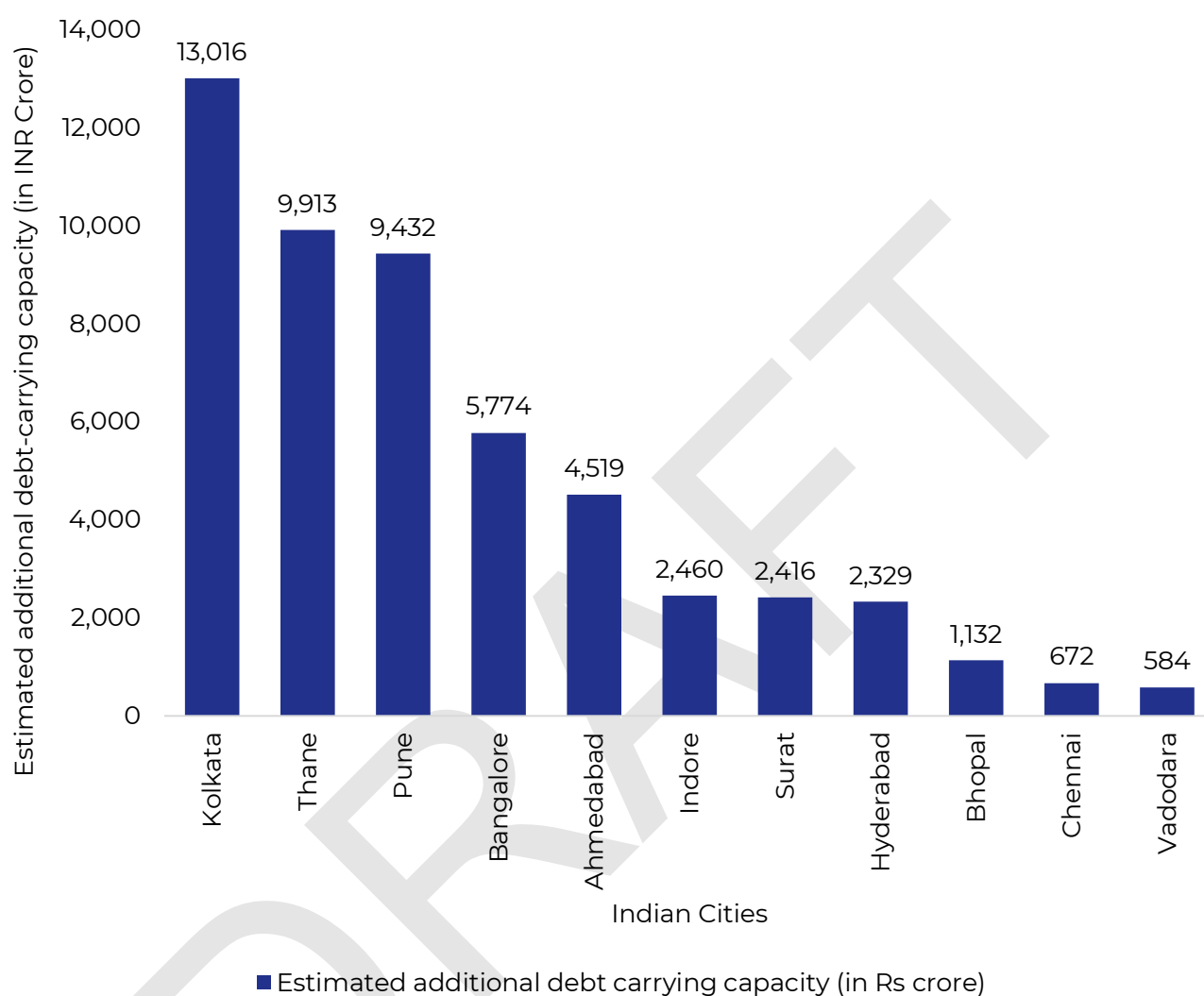
¹¹ Municipal bond is a type of debt security instrument issued by a central, state, local government.

¹² Reserve Bank of India. (2022). *Report on Municipal Finances*.

¹³ Securities and Exchange Board of India. (Accessed on 2023, August 8). *Municipal Bonds*. SEBI.

- A few states have also enabled Municipal Corporations to take decisions on capex from their own funds without seeking approvals from the state government. In March 2022, Vadodara Municipal Corporation's bond to raise INR 100 crore for a water supply project was oversubscribed more than ten times, despite economic slowdown and geopolitical tensions.¹⁴

Figure 9: Estimated additional debt carrying capacity* for the next ten years



Source: Athar, White & Goyal¹⁵

*Estimates are based on the existing operating surpluses of ULBs to fund debt servicing costs using conservative assumptions on business-as-usual growth over the next ten years. It is assumed that operating surpluses will increase by 8% per annum over ten years (which is conservative, relative to a 10% average annual increase in 2011-18) and that 50% of these surpluses will be available for debt service costs. The debt potential is calculated as the net present value (NPV) of these surpluses over ten years with a 10% discount rate.

¹⁴ Chitlangia, R. (2023, May 15). *Need smooth process to fund municipal bonds: Experts*. Hindustan Times.

G. GoI initiatives

Urban infrastructure and housing missions

Jawaharlal Nehru National Urban Renewal Mission 2005	Focuses on integrated development of infrastructure services, accelerating the flow of investments in urban infrastructure, renewal and redevelopment of inner-city areas and universalisation of urban services to ensure their availability to the urban poor
Swachh Bharat Mission 2014	Accelerate the efforts to achieve universal sanitation coverage , focus on sanitation and ensure that the open defecation-free behaviour is sustained
Smart City Mission (SCM) 2015	Area-based development for city improvement (retrofitting), city renewal (redevelopment) and city extension (greenfield development) as well as pan-city development for applying smart solutions to the existing infrastructure
Heritage City Development and Augmentation Yojana (HRIDAY) 2015	100% funding from the central government for preparation of heritage management plan and developing detailed project reports (DPRs) for identified projects in the selected 12 cities
Atal Mission for Rejuvenation and Urban Transformation (AMRUT) 2015	Sub-scheme for preparation of GIS-based masterplans for 500 AMRUT cities and sub-scheme for preparation of local area plans (LAP) and town planning schemes (TPS) on a pilot basis in 25 states/cities
Pradhan Mantri Awas Yojana 2015	Aimed at 'Housing for all' by 2022

GoI's financing interventions

Infrastructure Project Development Fund 2022	Financial support for project development expenses of PPP projects
Urban Infrastructure Development Fund 2023	Urban Infrastructure Development Fund launched by GoI for public agencies to create urban infrastructure in tier 2 and 3 cities. National Housing Bank would manage the fund
Pooled Finance Development Fund 2006	Facilitate ULBs to access the capital and financial markets for investments in essential municipal infrastructure and reduce the cost of borrowing for local bodies , with appropriate credit enhancement measures and restructuring of existing costly debts

How is urban finance governed?

A. Constitution of India

Under the Constitution of India, the state government is responsible for managing urbanisation.

“Article 246, 7th Schedule, State List, 5. - Local government, that is to say, the constitution and powers of Municipal Corporations, Improvement Trusts, District Boards, mining settlement authorities and other local authorities for the purpose of local self-government or village administration.”

This implies that state governments govern the working of local governments and extent of powers granted to the local governments in financial matters. It is generally observed that the local government has limited autonomy in increasing its OSR and is generally dependent on state government approvals from time to time.

B. Central Finance Commission

The Central Finance Commission, a statutory body, decides on the sharing of the divisible pool between the central government and state governments. The Central Finance Commission also makes recommendations for augmenting the revenue of the local governments through transfers to the consolidated fund of the states.

C. State Finance Commission

State governments are also expected to decide on the fiscal transfers to local governments but in actual practice, the SFC recommendations seldom form the basis of such fiscal transfers for various reasons.

What are the central government priorities? —

The central government is implementing several initiatives for strengthening the urban finance framework. The following initiatives provide a perspective on the central government's role:

Central Finance Commission devolutions	• Increasing OSR of urban local governments
Centrally sponsored schemes: • AMRUT and AMRUT 2.0 • PM e-bus Seva scheme • Metro Rail Policy, 2017 • FAME II scheme • Swachh Bharat Abhiyan, 2014 • Smart Cities Mission, 2015	• Augmenting the capital investment capacity of local governments/ parastatals • Sustainable urbanisation
Special assistance for state governments	• The central government is providing 50-year interest free loans of INR 56,415 crore in 2023-24 for capital investments in infrastructure projects to states • Increasing creditworthiness of ULBs
Municipal bonds and borrowing • Incentive scheme for municipal bonds • Urban Infrastructure Development Fund	• Augment the investment capacity of ULBs
City Finance portal	• Transparency in reporting the financial performance of local governments
UPYOG portal	• Transparency in local government performance including the financial performance
The National Municipal Accounting Manual	• Compliance with standard norms and procedures for accounting; policies, procedures and guidelines designed to ensure correct, complete and timely recording of municipal transactions and produce accurate and relevant financial reports.

What are potential interventions going forward?



The potential for increasing own source revenues of local governments is significant. The potential to increase property tax by four-fold provides an opportunity to enhance the investment capacity of Indian cities.

Augmenting OSR of local governments



Innovative financing instruments being implemented



PPP potential to be realised

The investments in urban transport provide opportunities for adoption of Transit Oriented Development (TOD) projects, which have the potential to generate additional revenue through increased land values by applying different Land Value Capture (LVC) mechanisms. The need for new funding mechanisms such as Urban Transport Funds will receive increased attention in the coming years.

The contribution of Public Private Partnerships (PPPs) is negligible, at only 3% of total investments in urban infrastructure development in recent years. Increased private sector participation can narrow the investment deficit significantly. ULBs need the capacity to structure such projects and identify significant inputs required for balancing risk.

Recommended Readings

- XVth Finance Commission. (2020). *Finance Commission in COVID Times: Report for 2021-26, Volume I: Main Report*. https://fincomindia.nic.in/writereaddata/html_en_files/15thFcReportIndex.html
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